1. Human Resource Management (HRM) Strategy

1.1. Soft and Hard HRM

A human resource strategy is a medium to long-term plan aimed at achieving the business's HR objectives. It is an essential part of the company's overall HR management.

Hard HR Strategy: Hard HRM follows a strict approach to managing human resources. It can be considered that this strategy focuses on cutting cost.

Key features:

- Treating personnel as resources to be used as efficiently as possible.
- Offering the minimum possible pay.
- Hiring employees at the lowest cost.
- Controlling workers and making them redundant when necessary.
- Often associated with autocratic leadership.
- Negative impact on motivation of employees.

Benefits of Hard HR	Limitations of Hard HR
Managers retain more control.	Lack of long-term employee relationships.
Fewer delegations result in faster decision-making and processes.	Can lead to poor work performance and failure to meet company goals.
Cost-saving and generally low expenses.	High labor turnover and demotivated workers.

Soft HR Strategy: Soft HRM adopts a more considerate and supportive approach to managing human resources. It tries to ensure they focus on their development and reach self-actualization, be motivated and stay loyal to the business.

Key Features:

- Views employees as valuable assets to the business.
- Prioritizes employee growth and development to boost long-term success.
- Typically associated with democratic or laissez-faire leadership styles.
- It encourages higher motivation and a strong sense of community within the organization.

Benefits of Soft HR	Limitations of Soft HR
Greater potential to attract and retain skilled employees.	Training costs increase liabilities and indirect expenses.
Improves the company's reputation and goodwill.	Higher costs to improve pay and working conditions.
Empowerment boosts productivity and work quality.	Less adaptability to shifting market conditions.
Higher employee motivation leads to lower turnover.	N/A

1.2. Types of Employment and Flexible Workforce

Flexible Workforces

A workforce with a higher proportion of temporary or part-time workers than full-time employees. Companies increasingly hire part-time, temporary, home-based, and variable-hour workers for flexibility and cost efficiency.

Benefits of a Flexible Workforce	Limitations of a Flexible Workforce
Allows businesses to adjust workforce size based on demand.	Temporary workers may not be as loyal or motivated as full-time staff.
Helps increase production during peak periods.	High staff turnover increases training costs and affects work quality.
Reduces costs by avoiding idle staff during slow periods.	Managing different work schedules can be difficult and cause communication problems.

Types of Flexible Workforces:

Temporary Workers

- Hired for a fixed period, often during peak seasons.
- It helps businesses stay competitive by adjusting staff levels to sales.
- Example: Tourism industry, theme park employees.

Part-Time Workers

- Work fewer hours than full-time employees (e.g., 20 hours per week).
- It allows businesses to manage labor costs effectively.

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Benefits of Temporary/Part-Time Workers	Limitations of Temporary/Part-Time Workers
Employees work only during peak hours, reducing fixed costs.	Temporary or part-time workers may feel less committed and involved compared to full-time employees.
Businesses can provide better customer service without major cost increases.	Establishing a teamwork culture is harder if workers don't interact regularly or only work to fulfill their contracts.
Workers may combine jobs across different businesses, gaining a broader work experience and variety.	Part-time workers typically earn less than full-time employees.
Having two or more part-time jobs can provide an income similar to a full-time role.	Part-time contracts offer less job security compared to permanent roles.
Workers can choose when to work, providing better work-life balance, especially for parents, learners, or elderly people.	Part-time workers often have fewer benefits (e.g., holiday entitlement, pension rights) than full-time employees.
More workers can be called in during absences.	Many countries provide fewer legal protections for part-time or temporary workers.
Employers can assess workers' performance before offering full-time contracts.	Part-time workers may not have access to the same training and development opportunities as full-time employees.

Full-Time Employment Contract:

An employment contract that is for a complete working week.

Permanent Employment Contract:

A contract that employs a worker unless they are dismissed, made redundant or decide to leave the organization.

Benefits of Permanent/Full-Time Workers	Drawbacks of Permanent/Full-Time Workers
Provide employees with job security, fulfilling Maslow's safety needs.	Labor costs become fixed and cannot be adjusted based on demand.
Encourage employee loyalty, reducing labour turnover.	Lack of flexibility in workforce size and working hours.
Employers are more willing to invest in employee training due to long-term commitment.	N/A

Core worker: Permanent employees contributing to company success.

Peripheral workers: Temporary or part-time workers hired as needed.

Helps businesses adapt to market changes.

Annualized Hours Contractual Workers:

- Employees work a set number of hours annually.
- Work hours fluctuate based on seasonal demand.
- Example: Agriculture workers.

Benefits Annualized Hours Contracts	Limitations of Annualized Hours Contracts
Core working hours are fixed, with additional hours used as needed.	Employees may have limited control over their schedules if called in on short notice.
Provides employees with flexibility to plan other activities.	If annual hours are exhausted early, employers may need to pay costly overtime rates.
Allows employers to adjust staffing based on demand.	N/A

Zero-Hour Contractual Workers:

- Employees work only when required and are paid accordingly.
- Provides businesses with cost flexibility.
- Example: Event caterers, office cleaners, delivery workers.

Benefits of Zero Hour Contracts	Drawbacks of Zero Hour Contracts
Employers only pay wages when work is available, reducing financial commitments.	Workers with multiple zero-hours contracts may not be available immediately, as they may be committed to other employers.

Flexi-Time:

- Employees work a set number of hours but choose their schedule.
- Improves work-life balance and productivity.

Benefits of Flexi-Time	Limitations of Flexi-Time
It gives workers greater control over working hours.	Requires careful scheduling to ensure adequate staff coverage.
Enhances employee motivation and job satisfaction.	Makes teamwork more challenging.
Employees have better work-life balance and ability to plan other activities.	Communication and meetings become difficult as employees work different hours.
Employers can extend working hours, improving customer service.	N/A
Employers can attract skilled and well-qualified recruits.	N/A

Homeworking:

- Employees work from home, reducing commuting costs.
- Lowers business overhead expenses.
- Enabled by technological advancements.

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Benefits of Homeworking	Limitations of Homeworking
Ideal for employees with long commutes.	Harder to assess employee performance.
Saves time wasted on travel.	No direct face-to-face interaction.
It reduces business costs by minimizing office space needs.	Reduces social contact for employees.
It allows desk-sharing (hot-desking).	Makes teamwork more challenging.
Makes it easier to attract high-quality employees.	N/A

Job Sharing:

- Two part-time employees share the responsibilities of a full-time role.
- Provides flexibility for employees and maintains productivity.

Benefits of Job Sharing	Limitations of Job Sharing
Employees can cover for each other during illness.	Additional HR administration required for two employees.
Increased productivity due to reduced stress and fatigue.	Potential confusion over responsibilities and accountability.
Retains two experienced employees for one role.	Lack of trust between job-sharing employees can lead to inefficiency.
Better work-life balance and more time for family commitments.	N/A

Compressed Working Hours:

- Employees work fewer days but longer hours per day.
- It helps balance work commitments with personal life.

Benefits of Compressed Hours Contracts	Limitations of Compressed Hours Contracts
Allows employees to enjoy three-day weekends.	Difficult for working parents to manage longer workdays.
Reduces commuting time for employees with long journeys.	Some employees may struggle with extended work hours.
N/A	Scheduling issues may arise if too many employees take the same days off.

Gig Economy:

- Short-term, freelance, or flexible work without fixed hours or salaries.
- It reduces labor costs for businesses but can lead to job insecurity for workers.

Benefits of Gig economy worker	Drawbacks of Gig economy worker
Workers are paid only for the specific job, with no long-term employment obligations.	One-off gig contracts are being made illegal in some countries, where workers must be offered employee status instead of being treated as independent contractors.
Gig workers often prefer the autonomy and control over their schedules and work.	N/A

Shift Work:

- Work that takes place on a schedule outside the traditional 9 to 5 job day.
- It involves evening or night shifts, early morning or rotating shifts.

Benefits of Shift Work	Limitations of Shift Work
Increases business output.	Requires scheduling for machine maintenance and repairs.
Maximizes the use of expensive equipment (e.g., 24-hour operation in a three-shift system).	Can cause 'shift work disorder,' affecting sleep, productivity, and long-term health.
Provides business flexibility as shifts can be adjusted based on demand	N/A
Workers may have some flexibility by switching shifts.	N/A

1.3. Labor Productivity, Absenteeism, and Measurement of Employee's Performance

Labor Productivity

Labor productivity is output per employee per hour.

- **It increases when output per worker rises.**

How to raise labor productivity:

- Higher employee motivation and effort.
- Using capital equipment more efficiently.
- Improving employees through training.
- Greater worker involvement in problem-solving.
- Enhancing operational efficiency. Example: Avoiding inventory shortage.

Measurement of productivity in different industries:

- Transport: Kilometers per driver per year.
- Hotels: Guest nights per employee per year.
- IT & Finance: Revenue per employee per year.
- Manufacturing: Output per employee per hour.
- Retail: Sales per employee per year.

Why it is more challenging to measure productivity in service industries:

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- Harder to improve productivity than in manufacturing.
- Luxury hotels need constant staff availability, limiting cost cutting.
- IT can boost efficiency in support services like booking and billing.

Absenteeism:

How to Measure Absenteeism:

Number of days of worker's absence/total no. of workers x 100.

It can also be calculated individually for each employee.

Impact of Absenteeism on Businesses:

- Disrupts operations, especially in consumer services.
- Poor service due to absence can drive customers away.
- Covering absences is costly (extra hires or overtime).
- Absenteeism as a Motivation Indicator:
- Motivated employees avoid unnecessary absences.

How Herzberg's Hygiene Factors Matter in Case of Absenteeism:

- Poor working conditions? It can be related to illness.
- Over-supervision? It can cause stress.

How HRM Can Deal With Absenteeism To Reduce It:

- Identify the cause (health, family issues, or low motivation).
- Support employees with genuine concerns.
- Take disciplinary action if absenteeism is due to laziness or a second job.

Other ways to Measure Employee's Performance:

- Wastage Rates: Proportion of materials wasted/proportion of total output damaged.
- Quality Levels & Reject Rates: Percentage of output that is unacceptable.
- Consumer Complaints: Complaints as a proportion of total customers served.
- Performance Evaluation: Comparing individual performance against pre-set targets/SMART criteria.

1.4. What happens due to subpar employee's performance?

- Damages business prospects.
- It leads to lower efficiency and customer dissatisfaction.
- If an employee has shown improvements in any aspect, it should be acknowledged and praised.

What are the causes that lead to such occurrences?

- Low motivation
- Family issues
- Poor management
- Inadequate resources

Strategies To Improve Employee's Performance:

To improve employee's performance, managers need to identify and analyze reasons for bad performance of the business, which can be:

- Low productivity
- Falling behind competitors.
- Unexplained absenteeism.
- Increased customer complaints.

What Are Hard HRM Strategies?

- It is giving strict warnings and discipline for poor performance.
- Moreover, giving Flexible contracts to employees for easier dismissal.
- It can cause a fall in short-term costs.
- However, it is probable that it will reduce motivation and worsen performance.

What Are Soft HRM Strategies:

- Regular performance appraisals with two-way discussions.
- Giving additional training to improve skills and efficiency.
- Doing quality circles, which are small groups identifying and solving problems.
- Autonomous workgroups, where there are multi-skilled teams managing work independently.
- Giving financial incentives such as profit-sharing or employee ownership schemes.
- Giving clear goals and tracking performance.
- It can lead to higher motivation, reduced absenteeism and better quality output.
- However, it would require training and appraisal, which would increase cost.

1.5. Management By Objectives (MBO)

Establishing a management information system to compare actual performance and achievements against pre-set objectives for each department or employee.

Key Aspects of MBO:

- Involves discussion and agreement between managers and employees.
- Encourages job enrichment and delegation of authority.
- Supportive of Theory Y approach.
- Believes that Theory X approach reduces motivation.

How are targets set?

- Individual performance targets set during annual appraisals.
- Targets should be agreed upon, not imposed.

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The Hierarchy of Objectives and Objectives in Action:

- **Aim:** To increase market share of the company.
- **Corporate Objectives:** Increase revenue by 15% of all regions per year.
- **Divisional Objectives:** In a region, to increase sales by 5% and raise market presence.
- **Departmental Objectives:** For R&D department, it can be to create a product with lower cost of production method with same quality.
- **Individual Targets:** For HR department, it can be to reduce labor turnover by 10% and conducting a certain set of training per year.

Benefits of MBO	Limitations of MBO
Employees know their tasks and can manage time effectively.	Breaking down corporate objectives into individual targets is highly time consuming.
Helps them understand their role in achieving company goals.	Fixed targets may become irrelevant if market conditions change.
Increased productivity.	Success depends on factors like resource availability and employee training.
Ensures all departments and individuals work toward the same objectives.	Targets alone do not ensure motivation or achievement.
Reduces conflicts and promotes a coordinated approach.	N/A
Managers can track progress and evaluate success or failure.	N/A
Targets serve as a performance measurement tool.	N/A

Effectiveness of MBO:

- Employee participation enhances motivation.
- Departmental and individual objectives should be discussed and aligned.

1.6. Uses of IT and AI in HRM

Common Role of IT in HRM:

- **Employee Records Management:** Stored in databases for easy access.
- **Work Schedule Tracking:** Planning software for flexible work arrangements.
- **Holiday Planning:** Software for employees to select preferred leave dates.

Recent IT Applications in HRM:

Recruitment	Training & Development	Employee Performance Management
Web portals for job postings and e-recruitment.	Online training programs with illustrations and assessments.	Software for tracking and updating performance.
Video resumes to showcase skills.	Employees can access and review content anytime.	Provides real-time insights for managers.
Social media (e.g., Facebook) for hiring.	N/A	Enhances feedback and performance improvement.

Future Uses of IT & AI in HRM:

AI in Recruitment	AI Chatbots for HR Support	Virtual Reality (VR) Training	Biometric Time Tracking
Rapidly analyzes job applications.	Answers common employee queries (pay, leave, benefits).	Creates interactive, realistic training environments.	Uses fingerprint or facial recognition for attendance.
Evaluates candidates without human bias.	Saves HR time for complex issues.	Reduces training costs and space needs (e.g., airline emergency simulations).	Prevents unauthorized access and fraudulent check-ins.
Records and classifies interview responses for tailored follow-up questions.	N/A	N/A	Automatically restricts system access after work hours.

Evaluation of Increased IT Use in HRM

- Frees up HRM time for strategic tasks, boosting efficiency.
- Less personal contact may make HR managers seem distant as it decreases human interaction.
- IT-based methods reduce discussions/two-way communication unless conferencing tools are used.
- Constant monitoring may create a sense of being watched.

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